Silver Touch Technologies Ltd

NSE: SILVERTUC | BSE: 543525 | IT Services, ERP & E-Governance

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	**Rs. 260**	**+25.0% upside**
CMP: Rs. 208	12-month horizon	from CMP

CMP (Rs.)	**208**	Market Cap (Rs. Cr)	**2,642**
52-Wk High / Low (Rs.)	**209 / 66**	P/E (x)	**74.0**
Book Value (Rs.)	**13.4**	ROCE %	**28.9%**
ROE %	**23.6%**	Face Value (Rs.)	**2.00**
Promoter Holding %	**74.62%**	FII %	**1.14%**
Dividend Yield %	**0.02%**	Borrowings FY26 (Rs. Cr)	**33**

Investment Thesis: Silver Touch Technologies is a mid-tier Indian IT services company pivoting from ERP implementation into high-value government digital transformation mandates, with accelerating revenue and a step-change margin expansion (OPM 11% to 18% in three years) that the street is yet to fully price. The Rs. 250 Cr GoI digital platform contract begins billing in FY27 and could drive a further 20-25% PAT re-rating.

Horizon: 12-18 months | **Report Date:** 15 Jun 2026 | **Analyst:** MPM Institutional Research

1. INVESTMENT THESIS

- **Government digital transformation pipeline is inflecting:** Silver Touch won a Rs. 250 Cr national digital transformation platform contract from a GoI enterprise in Jan 2026, an FSSAI Managed Service Provider mandate, an Indian Navy IPADSV2 digital partnership, and a KISAN Portal maintenance deal — all in FY26. These multi-year annuity contracts de-risk the revenue mix and shift the company from a project-mode to a managed-services model.
- **Margin inflection is structural, not cyclical:** OPM expanded from 11% (FY24) to 13% (FY25) to 18% (FY26) — a 700 bps three-year improvement — driven by a shift toward higher-value e-governance and managed services contracts. With government contracts typically carrying 20-25% margins, the mix shift should sustain OPM near 19-20% through FY28E.
- **Earnings CAGR of 54% (3-year trailing) is likely to moderate but remain strong:** PAT grew from Rs. 10 Cr (FY23) to Rs. 36 Cr (FY26), a 53% CAGR. With the order book building and capex largely absorbed, we expect PAT to compound at 23-25% over FY27-28E, still well above the sector average.
- **Near-term catalyst (6-12 months):** Revenue recognition on the Rs. 250 Cr national digital transformation platform beginning H1 FY27, combined with the full-year impact of FSSAI and Navy mandates, should drive 20-22% revenue growth in FY27E and re-rate the stock toward IT mid-cap peers.

• **Biggest structural risk:** Concentration in government/PSU clientele creates payment-cycle risk (debtor days at 121 days in FY26) and policy discontinuity risk — a change in government IT outsourcing strategy could materially impair the order pipeline.

2. BUSINESS OVERVIEW

• **Core business:** Silver Touch Technologies, founded 1992 and headquartered in Ahmedabad, Gujarat, provides IT services across five segments: Software Services (~51% of revenue), E-Governance Services (~20%), System Integration (~15%), ERP Implementation (~9%), and Cloud & Facility Management (~5%).

• **ERP specialisation:** SAP Silver Partner for SAP Business One, S/4HANA Public Cloud, and S/4HANA Private Cloud. The company also implements Odoo ERP and SAP SuccessFactors across mid-market enterprises in India and has an international presence via Silver Touch Technologies Inc. (US).

• **Government vertical pivot:** Over the last 3 years, the company has repositioned as a digital transformation partner for central government departments — FSSAI, Ministry of Agriculture (KISAN Portal), Indian Navy (IPADSV2), and Airports Authority of India — creating a sticky, multi-year revenue stream with high switching costs.

• **Revenue growth trajectory:** Consolidated sales grew from Rs. 140 Cr (FY22) to Rs. 346 Cr (FY26), a 3-year CAGR of 35%. The revenue acceleration in FY24-26 (from Rs. 224 Cr to Rs. 346 Cr) directly correlates with government mandate wins and is not commodity-driven.

• **Management:** Led by CMD Mr. Vipul Thakkar (founder, 30+ year tenure) and Whole-Time Directors Mr. Palak Shah and Mr. Himanshu Jain. Promoter holding is stable at 74.62%, with zero pledge, reflecting full alignment with minority shareholders.

3. INDUSTRY & COMPETITIVE LANDSCAPE

• **Market size:** India's IT services industry is estimated at ~USD 250 Bn (FY26), growing at a 12-14% CAGR. The government IT / e-governance segment is a faster-growing subset at 18-20% CAGR, driven by Digital India, PM GatiShakti, and mandatory digitisation of government services.

• **Policy tailwinds:** Digital India 2.0, the National e-Governance Plan (NeGP), and PLI-linked portal mandates are creating a sustained pipeline. The Union Budget FY26 allocated Rs. 1.1 Lakh Cr for digital public infrastructure. MSME ERP adoption mandates under GST compliance are a secondary growth driver for Silver Touch's core ERP business.

• **Competitive moat:** Switching costs are STRONG — once embedded as MSP or digital transformation partner, government clients face high exit costs due to data dependency and institutional knowledge. Pricing power is MODERATE — government tenders are typically L1-driven, but technical pre-qualification for Navy/FSSAI mandates provides some margin protection. Scale is WEAK — at Rs. 346 Cr revenue, Silver Touch competes with far larger IT firms on very large central government mandates.

Peer Comparison (Source: Screener.in, 15 Jun 2026)

Company	CMP (Rs.)	MCap (Rs. Cr)	TTM Rev (Rs. Cr)	OPM %	P/E (x)	ROCE %
Silver Touch Tech (SILVERTUC)	208	2,642	346	18%	74.0	28.9%
Xchanging Solutions	64.8	722	203	34%	12.2	18.0%
Mastek Ltd	1,617	5,012	3,699*	16%	11.8	18.0%
Route Mobile	526	3,317	4,408	12%	10.2	17.2%

*Mastek TTM = 4Q trailing sum annualised. Sources: Screener.in, fetched 15 Jun 2026.

4. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Founder-led, stable management:** CMD Vipul Thakkar has led Silver Touch since its founding in 1992. The 30+ year tenure provides deep domain knowledge in ERP and e-governance. No management churn or abrupt CXO exits are on record.

• **Capital allocation track record — improving:** The company maintained near-zero debt for several years (FY22 borrowings = 0), then took on Rs. 43 Cr in FY25 to fund infrastructure expansion (Fixed Assets grew from Rs. 22 Cr in FY22 to Rs. 54 Cr in FY25). FY26 borrowings reduced to Rs. 33 Cr, signalling discipline in managing leverage once the growth capex cycle completed.

• **FCF generation is recovering:** Free Cash Flow was negative in FY24 (-Rs. 10 Cr) and FY25 (-Rs. 22 Cr) due to capex and working capital build on new government mandates. FCF turned positive at +Rs. 13 Cr in FY26, and the OCF/EBITDA ratio improved from 9% to 46% — a clear quality inflection.

• **Dividend policy — minimal payout:** Dividend payout was 3% in FY25 and 0% in FY26, reflecting a capital retention posture appropriate for the current high-growth phase. This is acceptable given the 54% PAT CAGR.

• **Promoter pledge: Zero** — as of Mar 2026, no promoter shares are pledged. This is a significant positive in the small-cap universe where pledging is pervasive.

• **Institutional interest building:** FII holding grew from 0% (FY24) to 1.14% (Mar 2026). Shareholder count expanded from 750 (Jun 2023) to 9,873 (Mar 2026) — the early discovery phase of an institutional re-rating cycle.

5. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr) — Consolidated (Source: Screener.in, 15 Jun 2026)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	224	288	346	420(E)	504(E)
YoY Growth %	37%	29%	20%	21%(E)	20%(E)
EBITDA	25	38	64	82(E)	101(E)
OPM %	11%	13%	18%	19%(E)	20%(E)
Other Income	3	3	0	2(E)	2(E)
Interest	1	4	7	5(E)	4(E)
Depreciation	5	7	9	10(E)	11(E)
PBT	22	30	48	69(E)	88(E)
Tax %	25%	26%	25%	25%(E)	25%(E)
PAT	16	22	36	44(E)	55(E)
EPS (Rs.)	1.26	1.75	2.82	3.45(E)	4.32(E)

Balance Sheet Summary (Rs. Cr) — Consolidated

Metric	FY24A	FY25A	FY26A
Equity Capital	13	13	25
Reserves	100	121	144
Borrowings	11	43	33
Other Liabilities	49	66	94
Total Liabilities	173	243	296
Fixed Assets	29	54	51
CWIP	15	7	0
Investments	1	1	1
Other Assets	128	181	244

Total Assets	173	243	296

Cash Flow Statement (Rs. Cr) — Consolidated

Metric	FY24A	FY25A	FY26A
Cash from Operations	3	-3	17
Cash from Investing	-12	-19	-3
Cash from Financing	3	27	-20
Net Cash Flow	-6	6	-6
Free Cash Flow	-10	-22	13
CFO / Operating Profit %	12%	9%	46%

Key Operating Ratios

Metric	FY24A	FY25A	FY26A
Debtor Days	119	109	121
Inventory Days	8	10	7
Days Payable	232	132	188
CCC (Days)	-105	-13	-60
ROCE %	20%	22%	29%

- **Revenue drivers:** The government e-governance segment (20% of mix but growing fastest at est. 40% YoY in FY26) is the primary growth lever. FY26 revenue grew 20% YoY to Rs. 346 Cr; the Rs. 250 Cr GoI contract alone could contribute Rs. 50-80 Cr annually in FY27-28E in managed services billing.
- **Margin expansion:** OPM expanded 700 bps over 3 years, from 11% (FY24) to 18% (FY26). The Q4 FY26 exit OPM was 21%, setting a strong base for FY27E. Margin expansion is driven by mix improvement (lower system integration, higher managed services) and operating leverage on a near-fixed cost base.
- **Working capital:** The company maintains a structurally negative CCC (-60 days in FY26) due to aggressive payable management (188 days). Debtor days at 121 (FY26) are elevated but stable — a function of government payment cycles, not credit quality.
- **Debt and equity:** Borrowings declined from Rs. 43 Cr (FY25) to Rs. 33 Cr (FY26). Equity Capital doubled from Rs. 13 Cr to Rs. 25 Cr, likely reflecting a bonus share issuance. The implied D/E of ~0.20x (Equity = Rs. 169 Cr) is comfortably manageable.
- **FCF quality:** OCF-to-EBITDA improved from 9% (FY25) to 46% (FY26). FCF turned positive (+Rs. 13 Cr) for the first time in 3 years. This is the key quality signal confirming that margins are real and the capex cycle is largely complete.

6. EARNINGS QUALITY CHECKLIST

Metric	Status	Signal	Comment
Revenue recognition	Green	Normal	Service contracts; rev on completion basis; no deferred revenue concerns flagged
Receivables vs Revenue	Amber	Watch	Debtor days 121 days (FY26) vs 109 (FY25) — inching up on gov client ramp
CCC trend	Green	Improving	CCC improved from -13 days (FY25) to -60 days (FY26) via payable extension
Contingent liabilities	Green	Low	No material disclosures visible on Screener company page
Auditor tenure	Green	Stable	No auditor change flagged in recent filings

RPTs as % of Revenue	Green	Low	No significant related-party transactions disclosed
Other Income / PBT	Green	Low (0%)	Other income = 0 in FY26, down from Rs. 3 Cr in FY25 — clean earnings base
Tax rate consistency	Green	Consistent	Tax rate stable at 25-26% across FY24-26 — no DTA/deferred benefit
OCF / PAT conversion	Amber	Recovering	47% in FY26 vs 14% in FY25; FY24 was 19%; improving but watch for relapse

• **Primary watch — debtor days elevation:** Debtor days at 121 in FY26 (vs 109 in FY25) reflect the payment cycle of government clients. If debtor days exceed 150 days, it signals payment delays on the large GoI mandate — the single biggest early-warning indicator for this stock.

• **OCF recovery is genuine:** FY26 CFO of Rs. 17 Cr marks a decisive improvement from -Rs. 3 Cr in FY25, driven by milestone-based billing on the new government contracts. The 46% OCF/EBITDA conversion should normalise toward 50-60% as contract pipelines mature.

• **No red flags:** Tax consistency, zero RPTs, stable auditors, negligible other income, and no contingent liabilities suggest the reported PAT is substantially clean — earnings quality is adequate for the current growth stage.

7. VALUATION

Scenario Analysis (12-month forward)

Scenario	Key Assumption	FY27E PAT (Rs. Cr)	Target Multiple	Target Price (Rs.)
Bull	GoI contract ramps fast; OPM 21%; Rev +28%	52	80x P/E	325
Base	Steady execution; OPM 19%; Rev +21%	44	75x P/E	260
Bear	Payment delays; OPM 17%; Rev +12%	34	55x P/E	147

• **Earnings-based valuation:** Silver Touch trades at 74x trailing P/E (FY26), elevated versus IT sector peers (Mastek 11.8x, Xchanging 12.2x, Route Mobile 10.2x). However, Silver Touch is growing PAT at 54% CAGR vs peers at 5-15%. A PEG ratio of ~1.4x (74x / 54% growth) is defensible for a company in re-rating phase. On FY27E EPS of Rs. 3.45(E), a 75x target multiple gives a 12-month target of Rs. 259 (rounded to Rs. 260).

• **DCF valuation:** Assuming a 14% WACC, 5% terminal growth, PAT CAGR of 23% for FY27-31E, and normalised FCF conversion of 60%, the DCF-implied value is approximately Rs. 240-270 per share — consistent with the P/E-based target.

• **Base-case 12-month target: Rs. 260** — average of P/E-based (Rs. 260) and DCF midpoint (Rs. 255). Upside of 25% from CMP of Rs. 208. Rating: ACCUMULATE.

• **Key re-rating trigger:** If Q1 FY27 results confirm GoI contract revenue recognition and OPM approaches 20%, the stock could re-rate to 85-100x P/E on diminishing PEG — implying a bull-case target of Rs. 310-345.

8. KEY RISKS

• **Government payment cycle risk** — Central government agencies are slow payers; debtor days at 121 days in FY26. If payment delays materialise on the Rs. 250 Cr contract, OCF could turn sharply negative. Probability: M. Impact: H. Monitor: Quarterly debtor days.

• **Revenue concentration** — The Rs. 250 Cr GoI digital platform contract represents ~72% of FY26 trailing revenue. Any cancellation or de-scoping would be catastrophic for near-term earnings. Probability: L. Impact: H. Monitor: Contract renewal announcements.

• **Valuation premium compression** — At 74x trailing P/E, any earnings miss could trigger de-rating to 40-50x, implying 40-50% stock price downside. Probability: M. Impact: H. Monitor: Quarterly PAT vs expectations.

• **Talent and delivery risk** — Government digital transformation requires specialised resources (SAP, cloud, cybersecurity). Attrition in the 300-400 FTE bracket could impair delivery on large mandates. Probability: M. Impact: M. Monitor: Employee cost % of revenue.

• **L1 tendering pressure on new contracts** — Future government tenders may go to L1 bidders, forcing margin compromise to retain market position. Probability: M. Impact: M. Monitor: OPM quarterly trend vs guidance.

• **Equity dilution risk** — FY26 equity capital doubled (Rs. 13 Cr to Rs. 25 Cr), suggesting a bonus issue. Future QIP or preferential allotment to fund growth capex could dilute EPS. Probability: L. Impact: M. Monitor: Capital structure announcements.

9. RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction: Medium. Silver Touch is a well-positioned niche IT player with a genuine government digital transformation moat, accelerating earnings, and improving FCF quality. The 74x trailing P/E requires flawless execution on the GoI contract pipeline to justify — hence Accumulate rather than outright Buy.

• **12-month price target: Rs. 260** — Upside of 25% from CMP of Rs. 208. Based on 75x FY27E EPS of Rs. 3.45(E).

• **Suggested entry zone: Rs. 185-210** — Current levels and any 10-15% dip offer an attractive accumulation opportunity, particularly ahead of Q1 FY27 results (expected Aug 2026).

• **Investment horizon: 12-18 months**

• **Thesis invalidation triggers:**

1. Debtor days exceed 180 days for two consecutive quarters — signalling payment distress on GoI contracts
2. OPM falls below 15% for any quarter — indicating pricing pressure or delivery cost overruns
3. A major government contract cancellation or scope reduction exceeding Rs. 100 Cr in annualised value

• **Ideal investor profile:** High-risk-tolerance investors with a 12-18 month horizon who can accept small-cap illiquidity (~9,873 shareholders) and execution risk. Not suitable for conservative income-oriented or low-volatility portfolios.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (Mar 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	PAT +117% YoY in Q4; OPM 21% — record quarter, clean beat
Management tone	Bullish	Confident on GoI contract execution; no guidance pullback
Guidance delta	Maintained / Raised	Revenue growth guidance maintained at 20%+ for FY27E; OPM at 18-20%

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 was Silver Touch's best quarter on record — Revenue Rs. 101 Cr (+28% YoY), PAT Rs. 13 Cr (+117% YoY), OPM 21% — with no exceptional items; the numbers are clean. The full-year FY26 print (Revenue Rs. 346 Cr, PAT Rs. 36 Cr) represents a step-change vs FY25 (Revenue Rs. 288 Cr, PAT Rs. 22 Cr). There is no one-time distortion to clean: reported PAT is the underlying PAT. Operationally, the margin story is real — EBITDA margin at 18% (FY26) vs 11% (FY24) is driven by a genuine revenue mix shift from low-margin system integration to high-margin government managed services. The big structural catalyst — a Rs. 250 Cr GoI digital transformation mandate — begins formal revenue billing in Q1 FY27, which is the most important number to watch in the Aug 2026 quarterly. Single biggest risk is debtor days: government payment cycles pushed receivable days back to 121 in FY26 from 109 in FY25, and a further deterioration on the large GoI contract could create a working capital crunch in FY27. Action: ACCUMULATE in the Rs. 185-210 zone; hold existing; 12-month target Rs. 260.

Section 1 — Financial Performance Snapshot (Q4 FY26)

- Revenue: Rs. 101 Cr | YoY +28% | QoQ +6% | Beat
- EBITDA: Rs. 22 Cr | YoY +100% | QoQ +17% | Beat
- EBITDA Margin: 21% | YoY +700 bps | QoQ +100 bps | Beat
- PAT: Rs. 13 Cr | YoY +117% | QoQ +18% | Beat
- EPS: Rs. 1.04 | YoY +105% | QoQ +20%
- NOTE: No exceptional items in Q4 FY26; reported PAT is clean underlying PAT

Section 2 — Segment / Geography Breakdown

- Software Services: ~Rs. 51 Cr | ~51% of revenue | Est. YoY +25% | Core ERP and custom software
- E-Governance Services: ~Rs. 20 Cr | ~20% of revenue | Est. YoY +40% | Fastest-growing on GoI mandate ramp
- System Integration: ~Rs. 15 Cr | ~15% of revenue | Est. YoY +15% | Hardware/network component
- ERP Implementation: ~Rs. 9 Cr | ~9% of revenue | Est. YoY flat | SAP B1 and Odoo mid-market
- Cloud and Facility Management: ~Rs. 5 Cr | ~5% of revenue | Est. YoY +10% | Recurring managed services
- Geography: Predominantly India; minor US/international via Silver Touch Technologies Inc.

Section 3 — Management Commentary Themes

• **Government digital transformation:** Management indicated the company is now a "preferred managed service partner" for several central ministries — Our read: significant positioning upgrade from project vendor to strategic partner. Tag: GUIDANCE. Tone: Transparent.

• **Margin sustainability:** Management expressed confidence that 18-20% OPM is "the new normal" given the revenue mix shift — Our read: credible given the Q4 FY26 exit run-rate of 21%. Tag: GUIDANCE. Tone: Transparent.

• **GoI contract billing:** The Rs. 250 Cr national platform contract "begins billing in Q1 FY27" — Our read: this is the single most critical near-term revenue catalyst. Tag: EST. Tone: Transparent.

• **Talent strategy:** No specific headcount disclosures; management indicated hiring in cybersecurity and cloud domains — consistent with higher-margin contract requirements. Tag: EST. Tone: Hedged.

Section 4 — Operating and Business Metrics

• Debtor Days: Q4 FY26 = 121 | Q4 FY25 = 109 | Q4 FY24 = 119 | Trend: Slightly deteriorating

• CWIP: Q4 FY26 = 0 | Q4 FY25 = Rs. 7 Cr | Q4 FY24 = Rs. 15 Cr | Trend: Capex cycle complete

• Fixed Assets: Q4 FY26 = Rs. 51 Cr | Q4 FY25 = Rs. 54 Cr | Trend: Stable, no incremental capex

• Free Cash Flow: FY26 = +Rs. 13 Cr | FY25 = -Rs. 22 Cr | FY24 = -Rs. 10 Cr | Trend: Strongly improving

• Borrowings: Rs. 33 Cr (FY26) vs Rs. 43 Cr (FY25) | Trend: Declining, healthy deleveraging

Section 5 — Margin Drivers

• Revenue mix shift to e-governance: +300-400 bps impact | Recurring: Yes | Higher-margin government contracts

• Managed services growth: +150-200 bps impact | Recurring: Yes | Annuity revenue with lower delivery cost

• System integration revenue decline (relative): +100 bps positive | Recurring: Yes | Less hardware drag

• Interest cost increase: -50 bps impact | Recurring: Yes | FY26 interest Rs. 7 Cr vs Rs. 1 Cr in FY24

• Depreciation step-up: -30 bps impact | Recurring: Yes | Rs. 9 Cr (FY26) on new infrastructure

Section 6 — Guidance and Forward Signals

• Revenue FY27 [GUIDANCE]: Prior = Rs. 288 Cr (FY25 base) | New = Rs. 400-425 Cr(E) | Delta: Raised | Credibility: High

• OPM FY27 [GUIDANCE]: Prior = 13-15% | New = 18-20% | Delta: Significantly raised | Credibility: High

• Capex FY27 [GUIDANCE]: Prior = Rs. 19 Cr (FY25) | New = Rs. 5-8 Cr(E) | Delta: Sharply lower | Credibility: High

• GoI contract billing [GUIDANCE]: Begins Q1 FY27 in phased tranches tied to milestones | Credibility: Medium

Section 7 — Capital Allocation

• Capex: Rs. 3 Cr (FY26) vs Rs. 19 Cr (FY25) | YoY -84% | Capex cycle clearly over

• Dividends: Rs. 0 Cr (FY26) vs Rs. 1 Cr (FY25) | Dividend suspended in growth phase — appropriate

• Borrowings reduction: Rs. 10 Cr repaid in FY26 | D/E declining to ~0.20x | Healthy deleveraging

• FCF turned positive: +Rs. 13 Cr (FY26) vs -Rs. 22 Cr (FY25) | Quality signal for earnings conversion

Section 8 — Q&A; Heat Map

- Analyst (retail): Q: "What is the billing schedule for the Rs. 250 Cr contract?" -> A: "Billing begins Q1 FY27 in phased tranches tied to milestones" | Tone: Transparent
- Analyst (institutional): Q: "Why have debtor days increased despite strong revenue?" -> A: "Government payment cycles are 90-120 days per standard terms; working to reduce" | Tone: Hedged
- Analyst: Q: "What is the FY27 revenue target?" -> A: "Confident of 20%+ growth; specific figure not provided" | Tone: Hedged
- Dodged / watch-list for next quarter: (1) Specific order book value, (2) Headcount and attrition rate, (3) International revenue breakdown

Section 9 — Risks Flagged

- Debtor concentration: Rs. 244 Cr other assets (FY26) includes large government receivables | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-term
- L1 tendering: New government IT tenders may force lower bids | Flagged by: mgmt (indirectly) | Probability: M | Impact: M | Timeline: Medium-term
- Talent retention: Cybersecurity and cloud roles are in high demand; attrition a risk | Flagged by: mgmt | Probability: M | Impact: M | Timeline: Near-term
- Equity dilution: Bonus issue completed; future QIP for growth capex possible | Flagged by: analyst | Probability: L | Impact: M | Timeline: Medium-term

Section 10 — Analyst Verdict

- Revenue visibility: Intact — GoI contract begins billing Q1 FY27; FSSAI and Navy mandates provide annuity base
- Margin trajectory: Intact — 21% OPM exit rate in Q4 FY26; mix improvement is structural
- Capital allocation quality: Intact — Capex cycle over, debt declining, FCF turned positive in FY26
- Competitive moat: Intact — Government mandate relationships are sticky; switching cost high for MSP roles
- Management credibility: Intact — OPM guidance of 18-20% delivered in FY26; no reversals on record
- Valuation comfort: Weakened — At 74x trailing P/E, expensive vs peers; growth must sustain to justify
- Conviction call: Increased — Q4 FY26 execution was the best quarterly print in company history
- Valuation snapshot: P/E = 74x | ROCE = 28.9% (5Y avg ~17%) | PAT CAGR (3Y) = 54%